shareholder oriented, in large part because they own a large chunk of stock themselves. We always ask around, get third-party opinions from the company's suppliers and customers and others in the same industry, but I've found that in most instances I can get a tolerable sense of the ability of managers after spending some time with them. It's not much different from the way you decide if your plumber is honest and competent.

As for their too-optimistic predictions, I can usually discern whether top brass estimates high—or low, for that matter, for some managers will say the company should earn $1.60 when it will probably do $2. You can also build some kind of rapport in face-to-face meetings that makes it easier to keep checking on the company, and to get the lowdown on competitors, customers, and suppliers, which can lead to other stock ideas.

Yes, it's tough to spend time out of the office calling on companies, though the senior people of many come through Chicago to address a group of analysts or even drop into our offices. If an analyst sees two companies a week—which is an easy load—he sees one hundred a year, and with several analysts on staff, you can keep up with a considerable universe. When abroad, you can often manage to see four or five companies in one day.

Managements can be guarded about what they tell you, but their competitors will usually talk freely about them.

Visiting a company doesn't mean you have to—or even want to—*own* that company. Some of the most valuable information we pick up about an industry comes from talking to companies we'll probably never own. They may be competitors of companies we do own. Managements can be guarded, especially if they know we